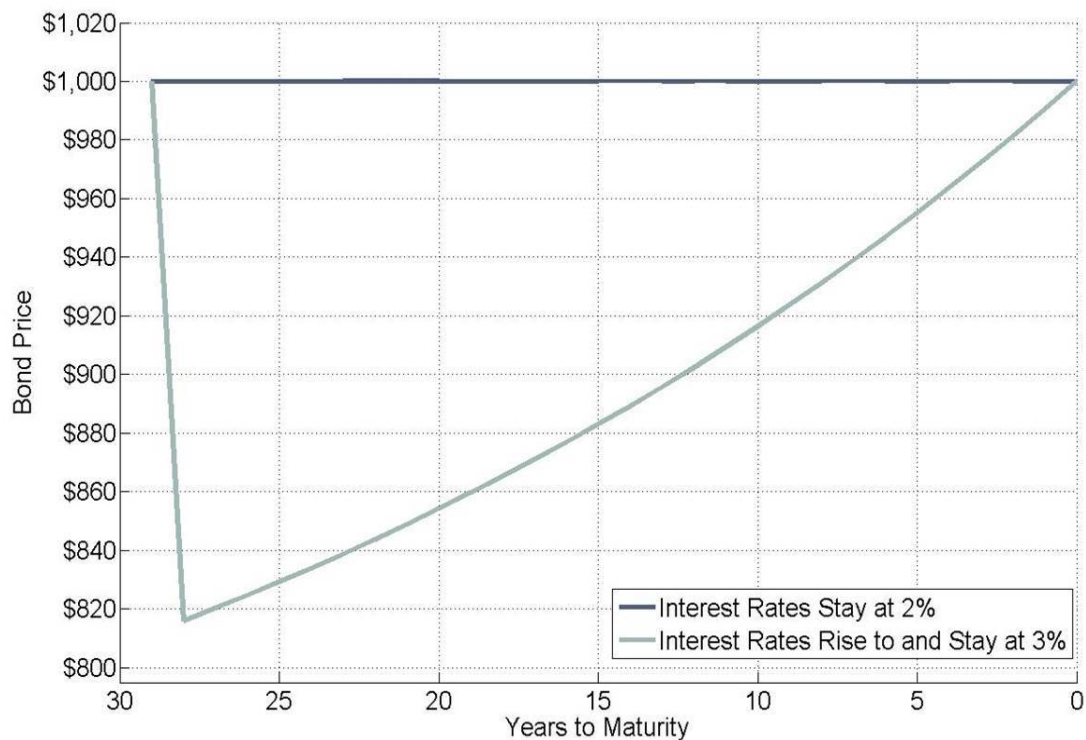




When it comes to retirement income bond ladders, Joe Tomlinson created a taxonomy of different types in his 2014 *Advisor Perspectives* column, “Why the Risk Reduction Benefits of Bond Ladders Have Been Overstated.” His list inspired me to create a more extended version in Exhibit 7.10.

Exhibit 7.10

Taxonomy of Retirement Income Bond Ladders

Types of Bond Ladders	Potential Use
One-Time Ladders	
Fixed Short Term	Build a Social Security delay bridge
Fixed Medium Term	Twenty-year bond ladder followed by deferred-income annuity to cover remainder of lifetime
Fixed Long Term	Thirty-year bond ladder as source of “lifetime” retirement income
Rolling Ladders	
Automatic	Each year purchase a new bond to extend the horizon by one more year as bond matures, keeping ladder length constant over time